Some of the mandates will also become less costly with new techniques. For example, banks are finding ways to make MSME loans more remunerative by decreasing transactions costs. Similar techniques could be brought to agricultural loans, especially as farm productivity increases. Wider use of credit information bureaus and collateral registries should also help improve credit evaluation and lower the cost of repossession. This should make it easier to meet priority sector norms. The cost has been further reduced through the introduction of tradeable priority sector lending certificates, whereby the most efficient lenders can sell their over-performance, while the inefficient ones can compensate for underperformance by buying certificates.

Nevertheless, over time, differences should be reduced further. This is why, for example, the Reserve Bank has been reducing Statutory Liquidity Ratio requirements steadily, and allowed over half of the SLR holdings to meet the Basel-mandated Liquidity Coverage Ratio. But we are also trying to shape mandates to new technologies and approaches. For example, it is mandated that a quarter of a bank's branches should be opened in underserved areas. But what exactly qualifies as a branch? Could we accept alternative definitions of a branch so long as they meet the needs of the population for a regular outlet for banking business? Of course, all villages would love to have a full service brick and mortar bank branch. However, if the cost is currently prohibitive, can we accept alternatives that do much of what is needed? An internal RBI committee is looking at these issues.

In sum, mandates should increasingly be paid for, and are becoming easier to achieve as the institutional and technological underpinnings of financial services improve. As competition increases, however, the authorities should ask how long mandates should continue, and keep targeting them better towards the truly